

Before the
UNITED STATES COPYRIGHT OFFICE, LIBRARY OF CONGRESS

In the Matter of
Public Study to assess the operation of Section 1201 of Title 17
Docket No. 2015-8

REPLY COMMENTS
USC Intellectual Property and Technology Law Clinic
April 1, 2016

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The USC Intellectual Property and Technology Law Clinic (“IPT USC”) respectfully submits this reply in response to the initial written comments filed on March 3, 2016 with the United States Copyright Office (“Office”).

I. Recurring Exemptions Should be Presumptively Renewable

Technological prevention measures (“TPMs”) should prevent users from engaging in illegal copying and infringement. Instead, they often inadvertently preclude some users from engaging in *legal* activity—a repercussion that runs against the very goal of copyright law. As such, the exemption process is critical in protecting non-infringing uses of copyrighted works from the adverse effects of DMCA prohibition. Presumptive renewal is the only way to streamline this process, and to ensure that various affected parties have the resources to adequately engage in the rulemaking process.

A. Imbalanced and Undue Burdens

The complexity of the current exemption process forces many to rely on public advocacy groups to help them solve the recurring harms they encounter as a result of the DMCA's restrictions. While IPT USC is happy to assist those with limited resources in their fight for permission to “diagnose, modify, and repair” their vehicle software, this process can be long, draining, and highly specialized from the perspective of someone with no experience in the legal field.¹ Requiring proponents of these exemptions to develop a robust record every three years, especially when certain classes are presented unopposed each cycle, is therefore an imbalanced and very difficult-to-meet burden. As it stands, the system favors opponents who typically come in the form of commercial enterprises, well-funded lobbyist groups, large corporations representing global industries, and manufacturers.² This structure effectively promotes “business models that depend upon restricting distribution and availability, rather than upon maximizing it,” in a manner that harms individual innovation and advocacy.³

In addition to the difficulty proponents face based merely upon the fact that the exemption process is very technical and demanding, the requirement for a showing of “persuasive, *current*” evidence is nearly impossible to achieve on a triennial basis. If the adopted DMCA exemptions are meaningful and effective, the exemptions should remedy the very harms DMCA restrictions create. As such, because the adopted exemptions *are* often effective and therefore unopposed, the process places proponents in an impossible position. It requires them to speculate as to what potential harms may exist in the future, which conflicts with the Office's standard that a proponent's evidence “may not rely upon speculation.”⁴ The burden of putting forth a new, fully developed record each time is too stringent; it requires considerable duplication of expense and effort.

Presumptive renewal addresses these problems. Moving from a *de novo* approach to “one that gives deference to previously granted exemptions” will streamline the Section 1201 process.⁵ This proposed method would involve a burden shift from those seeking renewal to those who oppose it, who should now have to “[present] evidence either that sufficient factual change justifies a new analysis of adverse impact or that new harm to copyright owners' interests outweighs the public benefit of keeping the exemption as it was.”⁶

An array of additional support advocating for change has been submitted, exemplifying the widespread need for reform in this area.⁷ However, increasing the overall burden placed on proponents—as the Alliance of Automobile Manufacturers suggests—is not the answer. Because of the aforementioned reasons surrounding the demanding nature of this process, asking

¹ Kyle Wiens Comments at 2.

² See, e.g., AAP, MPAA, RIAA Comments (2016); Alliance of Automobile Manufacturers Comments (2016).

³ H.R. REP. NO. 105-551, pt. 2, at 36 (1998).

⁴ MARIA A. PALLANTE, REGISTER OF COPYRIGHTS, SECTION 1201 RULEMAKING: FIFTH TRIENNIAL PROCEEDING TO DETERMINE EXEMPTIONS TO THE PROHIBITION ON CIRCUMVENTION, RECOMMENDATION OF THE REGISTER OF COPYRIGHTS 7 at 6. (Oct. 12, 2012).

⁵ http://www.copyright.gov/1201/2012/Section_1201_Rulemaking_2012_Recommendation.pdf

⁶ 29 Berkeley Tech. L. J. 759, 779.

⁷ Id. at 779.

⁷ Center for Democracy and Technology Comments at 5; Auto Care Association Comments at 8.

proponents to consider “collateral regulatory impacts” as a preliminary step would further hinder the Office from conducting this process smoothly and effectively.⁸ Such requirements would lead to speculation, and would not be beneficial or necessary to the rulemaking process. Further, regulatory agencies have the opportunity to participate in the process, as do any organizations; if they wish to submit comments discussing potential adverse effects on an industry, they are already able to do so. There is no need to establish a more rigorous burden for proponents in favor of regulatory agencies.

B. Lack of Predictability

Regardless of whether parties are in favor of or against presumptive renewal, virtually all parties who have participated in the 1201 study agree that a lack of predictability hinders the effectiveness of the process and that some form of restructuring is needed.⁹ Further guidance and uniformity as to how the Office adapts to evolving technologies would benefit both rights holders and users seeking to make non-infringing uses of works that require circumventing access controls.

II. Rulemaking Process Should Allow Exemptions Permitting Third-Party Assistance

A. Copyright Office is Authorized to Permit Third-Party Assistance

The Office has long maintained that the rulemaking process should be conducted *de novo* in light of the legislative history surrounding the enactment of the DMCA.¹⁰ However, legislative history should not control the standard of review with binding authority. The power to expressly permit third-party assistance is within the Librarian’s authority to ensure that the rulemaking process continues to serve as “a barometer for policy concerns and policy action beyond the confines of the statute.”¹¹

While most parties participating in this study support the adoption of exemptions permitting third-party assistance when justified by the record, a few parties strongly oppose this reform. For example, the Alliance of Automobile Manufacturers expressly states that the adoption of “any such exemptions should be decided by Congress, not the Copyright Office.”¹² However, the Alliance of Automobile Manufacturers fails to provide any evidentiary support for its position, other than asserting that the anti-trafficking provisions “should remain in place.”¹³ In

⁸ See Alliance of Automobile Manufacturers Comments at 5, suggesting proponents should “identify potential collateral regulatory impacts of their proposals (or to demonstrate that such impacts would be minimal), including specification of the main federal or state regulatory agencies potentially impacted.”

⁹ AAP, MPAA, RIAA Comments at 11; Alliance of Automobile Manufacturers Comments at 5.

¹⁰ The Commerce Committee Report was cited by Register Peters in 2003 and again by Register Pallante in 2012. See Marybeth Peters, Register of Copyrights, Section 1201 Rulemaking: fourth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention, Recommendation of the Register of Copyrights 25 n.50 (Oct. 27, 2003), <http://www.copyright.gov/1201/docs/register-recommendation.pdf>. 2012 Recommendation 5 n.22.

¹¹ Maria A. Pallante, *The Next Great Copyright Act*, 36 Colum. J.L. & Arts 315, 331 (2013).

¹² Alliance of Automobile Manufacturers Comments at 9.

¹³ *Id.*

contrast, the parties participating in this study advocating for change point to a number of real-world examples emphasizing the adverse effects of exemptions barring third-party assistance. The Office has the power to ameliorate these effects by adopting exemptions that directly address the limitations of certain exemptions.

B. Librarian Should be Able to Adopt Exemptions Permitting Third-Party Assistance

The Class 21 exemption pertaining to vehicular software granted in the 2015 Final Rule is particularly illustrative in demonstrating the need for exemptions allowing third-party assistance. This exemption permits the circumvention of vehicle software for specific, lawful purposes, yet excludes such circumvention by third parties "on behalf of" vehicle owners.¹⁴ As the Auto Care Association explained in its Comments, circumventing vehicular software for non-infringing purposes such as diagnosis and repair "cannot reasonably be accomplished on a one-off basis by an individual consumer."¹⁵ Similarly, the Center for Democracy and Technology alludes to the need for third-party assistance for the circumvention of "highly sophisticated devices, [as] the inability to enlist the aid of a third party can deprive the device owner" of utilizing the exemption.¹⁶

As complex software now appears in a vast range of machines such as automobiles, tractors, and cell phones, prohibiting third parties from facilitating lawful circumvention has widespread chilling effects. Furthermore, preventing third parties from circumventing TPMs for non-infringing purposes "risks worsening a social divide," whereby "technically savvy users would have even more advantages over non-savvy users."¹⁷ Individuals lacking the requisite technical expertise to circumvent TPMs on their own should be able to obtain the support of third parties to avail themselves of the exemption benefits.

When justified by the record, the Office should adopt exemptions permitting third-party assistance to ensure that owners of TPM-protected machines are able to engage in non-infringing uses.

C. Allowing Exemptions that Permit Third-Party Assistance is Unlikely to Conflict with Anti-Trafficking Prohibitions

Extending an exemption to include third parties would not be in tension with anti-trafficking provisions. To return to the example of vehicular software, individuals often seek to circumvent the TPMs for lawful purposes such as diagnosis, repair, and modification. The Auto Care Association supports permitting third-party assistance to ensure that such non-infringing activities are "effective, reliable, and safe."¹⁸ Additionally, TPMs are steadily replacing the functions of physical vehicle parts. Historically, these parts "could have been repaired by independent facilities or consumers themselves without any threat of copyright liability or need

¹⁴ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 80 Fed. Reg. 65944, 65954–55 (Oct. 28, 2015) (to be codified at 37 C.F.R. pt 201).

¹⁵ Auto Care Association Comments at 9.

¹⁶ Center for Democracy & Technology Comments at 11.

¹⁷ Mozilla Comments at 5.

¹⁸ Auto Care Association Comments at 10.

for an exemption.”¹⁹ As such repair services often “do not fall under any of the three categories of forbidden conduct identified in 1201(a)(2)(A) through (C),”²⁰ allowing third-party assistance in specific instances likely will not contradict the anti-trafficking provisions of Section 1201.

For the reasons set forth above, precluding individuals from obtaining third-party assistance prohibits a significant sector of the intended exemption beneficiaries from engaging in circumvention for non-infringing purposes, frustrates the intentions of the rulemaking process, and contradicts the larger initiatives of the DMCA.²¹

II. Conclusion

IPT USC commends the Copyright Office for welcoming comments and fostering a public dialogue in conducting this study to collectively improve the rulemaking process. We respectfully submit this reply, supplementing our initial comments submitted on March 3, 2016.

¹⁹ *Id.*

²⁰ Electronic Frontier Foundation, Comments In the Matter of Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies Under 17 U.S.C. 1201, Class 21, at 25, https://www.eff.org/files/2015/05/21/1201_eff_reply_comment_class_21.pdf.

²¹ H.R. REP. NO. 105-551, pt. 2, at pg. 36. (The DMCA is intended to prevent “the adoption of business models that depend upon restricting distribution and availability, rather than upon maximizing it.”).